

SUBURBAN HEALTH CONSORTIUM

THIRD AMENDMENT **TO** **AMENDED AND RESTATED CONSORTIUM AGREEMENT**

The Amended and Restated Consortium Agreement of Suburban Health Consortium, as amended (the “Consortium Agreement”), shall be, and is hereby, amended in the respect and to the extent set forth below.

1. Subsection 1.f. shall be, and is hereby, amended and replaced as follows:

f. “Consortium Member” shall mean any school district whose superintendent has, pursuant to a resolution adopted by its board of education, caused this Agreement to be executed in its name or, with respect to any additional school district included in the Consortium pursuant to Section 11 hereof, whose board of education has caused this Agreement to be executed in its name in accordance with Section 11, and has not withdrawn or been terminated from participation in the Consortium pursuant to the provisions of Section 10 hereof.

2. Section 10 shall be, and is hereby, amended and replaced as follows:

Section 10. Withdrawal/Termination from Participation in the Consortium.

a. Any Consortium Member wishing to withdraw from participation in the Consortium or any benefit program shall notify the Fiscal Agent (or the Chairman of the Board of Directors if the Fiscal Agent is withdrawing) at least one hundred eighty (180) days prior to the effective date of the withdrawal. Any decision to withdraw from the Consortium must be made by duly adopted resolution of the board of education of the Consortium Member. Any Consortium Member withdrawing pursuant to this Subsection 10.a. shall remain liable for all amounts due prior to the effective date of withdrawal under this Agreement or pursuant to any action of the Board of Directors. The Consortium shall pay all run-out claims of any Consortium Member withdrawing pursuant to this Subsection 10.a. provided (i) such Consortium Member has paid to the Consortium, by remitting to the Fiscal Agent prior to the effective date of withdrawal, a withdrawal fee in the amount of two (2) months’ premiums at such Consortium Member’s then current rates and (ii) such Consortium Member is current in the payment of all amounts due under this Agreement or pursuant to any action of the Board of Directors. Payment of the withdrawal fee does not extend insurance coverage for two (2) months. If any Consortium Member withdrawing pursuant to this Subsection 10.a. fails to pay the withdrawal fee or any amount due under this Agreement or pursuant to any action of the Board of Directors, such Consortium Member shall be solely responsible for the payment of all of its run-out claims.

Any Consortium Member which withdraws from the Consortium pursuant to this Subsection 10.a. shall have no claim to the Consortium's assets and shall not be entitled to the return or refund of any premiums or other amounts paid, directly or indirectly, by such Consortium Member to the Consortium. Upon withdrawal under this Subsection 10.a., the withdrawing member may not become a Consortium Member again or be reinstated in a benefit program for a period of two (2) years and until it has fully complied with the procedures contained in Section 11 or Subsection 4.b. hereof, as the case may be.

b. If any Consortium Member commits a material breach of this Agreement or a material violation of any action taken by the Board of Directors, as determined in each case by the Board of Directors in its sole discretion, the Board of Directors may terminate such Consortium Member's participation in the Consortium and all benefit programs. Any Consortium Member whose participation in the Consortium has been terminated pursuant to this Subsection 10.b. shall remain liable for all due and unpaid amounts under this Agreement or pursuant to any action of the Board of Directors. Any Consortium Member whose participation in the Consortium has been terminated pursuant to this Subsection 10.b. shall be solely responsible for the payment of all of its run-out claims (unless otherwise determined by the Board of Directors in its sole discretion). In no event shall the Consortium pay the run-out claims of any Consortium Member under this Subsection 10.b. unless (i) such Consortium Member has paid to the Consortium, by remitting to the Fiscal Agent prior to the effective date of termination, a termination fee in the amount of two (2) months' premiums at such Consortium Member's then current rates and (ii) such Consortium Member is current in the payment of all amounts due under this Agreement or pursuant to any action of the Board of Directors. Payment of the termination fee, if applicable, does not extend insurance coverage for two (2) months. Any Consortium Member whose participation in the Consortium has been terminated pursuant to this Subsection 10.b. shall have no claim to the Consortium's assets and shall not be entitled to the return or refund of any premiums or other amounts paid, directly or indirectly, by such Consortium Member to the Consortium. The Board of Directors is authorized to take any and all actions the Board deems necessary or appropriate in the event of a material breach or a material violation by a Consortium Member.

For all purposes of this Subsection 10.b., the failure by any Consortium Member to pay any amount when due under this Agreement or pursuant to any action of the Board of Directors shall be considered a material breach of this Agreement or a material violation of Board action, as the case may be. Upon any material breach or material violation due to non-payment by a Consortium Member, the Consortium shall cease paying as of the date of the material breach or material violation, as the case may be, and for as long as the material breach or material violation continues any and all claims incurred by any and all participants enrolled for coverage through such Consortium Member, and such Consortium Member shall be solely responsible for the payment of all such claims. If a material breach or a material violation by a Consortium Member for non-payment is due to any reason other than extreme financial hardship, as determined by the Board of Directors in its sole discretion, such Consortium Member shall pay to the Consortium,

by remitting to the Fiscal Agent upon demand for payment from the Fiscal Agent, a late payment penalty in an amount equal to twenty-five percent (25%) of such Consortium Member's then current monthly premium for each month, or portion thereof, that any due and unpaid amount remains unpaid. The late payment penalty shall be paid in addition to all other amounts due under this Agreement or pursuant to any action of the Board of Directors. Each Consortium Member hereby acknowledges and agrees that the late payment penalty is necessary and appropriate to deter Consortium Members from committing a material breach or a material violation by deliberately withholding payment in an effort to circumvent the notification requirement under Subsection 10.a.

c. Each Consortium Member hereby releases, waives, and discharges the Consortium and the other Consortium Members from, and covenants not to sue the Consortium and/or the other Consortium Members in connection with, any and all claims, actions, demands, rights, damages, liabilities, obligations, losses, expenses (including but not limited to attorney's fees), and causes of action of whatever kind, whether known or unknown, vested or contingent, suspected or unsuspected, which such Consortium Member may now have or which may hereafter accrue on account of, arising out of or relating in any way to non-payment of run-out claims and/or any other claims or amounts by the Consortium in the event such Consortium Member commits a material breach of this Agreement or a material violation of any action taken by the Board of Directors or fails to comply with Subsection 10.a. or 10.b., as applicable.

d. The terms, clauses, conditions, and provisions of this Section 10 shall survive the effective date of withdrawal or termination of any Consortium Member.

3. Section 12 shall be, and is hereby, amended and replaced as follows:

Section 12. Resignation of Fiscal Agent; Successor Fiscal Agent. The Fiscal Agent may resign as the Fiscal Agent of the Consortium at any time by giving written notice of the date of such resignation to each Consortium Member and to the Chairman of the Board of Directors at least one hundred eighty (180) days prior to the effective date of such resignation. The Fiscal Agent may be removed as the Fiscal Agent of the Consortium at any time by the Board of Directors by a majority vote. Upon any resignation or removal of the Fiscal Agent, the Board of Directors, by a majority vote, shall appoint a successor Fiscal Agent from among the Consortium Members. The costs resulting from a change of Fiscal Agent, including but not limited to any bonding fees, shall be deemed costs of the Consortium. In the event that the Fiscal Agent serves notice of its resignation (in accordance with this Section 12) or withdrawal (in accordance with Subsection 10.a. hereof) or is removed (in accordance with this Section 12) and no successor thereto is appointed by the Board of Directors prior to the effective date of such resignation or withdrawal or at the time of removal, then this Agreement and the Consortium shall be automatically terminated as of the effective date of the Fiscal Agent's resignation, withdrawal or removal.

4. Except as amended above, the Consortium Agreement shall remain unchanged and in full force and effect.